

COMP7901 (2025-26)
Legal Protection of Digital Property
Homework #2
Due: 11 pm, 19 April 2026

Read "Guide to Doing Homework Assignments" before working, and ensure that your essay complies with "Policy on Assignments" before submitting. Whenever possible, cite authorities (i.e., section numbers of HK legislation and/or relevant cases) to support your argument. If you rely on cases not mentioned in lectures, you must provide their full citations (eg. [2007] 3 HKC 255). If you need to make any assumptions about the facts, make the most reasonable and the minimal number of assumptions, and state what they are.

PokFulam Bank (**PFB**) is a bank in Hong Kong with over 1 million customers. It has a large database containing, among other things, the contact and financial information of its customers. A month ago, the database was accessed by an unknown hacker who had copied all of its contents ("**the Incident**"). The Incident was reported to the police but the hacker has not been found. Meanwhile, PFB's customers began to receive advertising emails addressed to them personally from SaiWan Bank (**SWB**), inviting them to switch to SWB in view of the Incident. A significant number of PFB's customers have since switched to SWB.

Through a private investigator, PFB has found that shortly after the Incident, SWB has purchased from MegaData Centre (**MDC**) the contact information of PFB's customers ("**the Information**"), on condition that SWB will keep the Information confidential as it belongs to PFB. A staff member of MDC has secretly told the private investigator that the Information is authentic, as it was obtained by an employee of MDC directly from PFB's database.

- (a) Does SWB have any legal liabilities under the Personal Data (Privacy) Ordinance? Explain.
- (b) Does MDC have any legal liabilities under the Personal Data (Privacy) Ordinance? Explain.